PERSONAL SELF-STUDY HANDBOOK

Investing and Wealth Management

Thirty short lessons for Indian investors. Each lesson explains one concept, works through an example, shows how to apply it, gives a checklist, and ends with a practical exercise.

30 lessons · 10–15 minutes a day · Last reviewed November 2026

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Formula sheet

How to use this handbook

Read one lesson per day. Work the exercise with the sample numbers first, then repeat it on a real company or fund. Answers to the numerical exercises are in the answer key, and every formula is collected in the formula sheet.

Before investing in equity, the usual order of priorities is: an emergency fund (commonly 6 months of expenses), adequate term life and health insurance, and no expensive debt such as credit-card balances. Investing works best on top of that base.

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Investment decision = Goal fit + Quality + Financial strength +
Valuation + Behavior
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Disclaimer. This is educational material, not a recommendation to buy or sell any security. All company figures are fictional. Market data, products and tax rules change, so verify current information from official sources before making decisions.

DAY 1 · 10–15 MINUTES

Real return and investment goals

Core idea

Return after inflation and tax is what increases purchasing power. A bank deposit earning 7% while inflation is 5% produces only about 1.9% real return before tax, because real return is (1.07 / 1.05) − 1.

Worked example

Real return = (1 + nominal return) / (1 + inflation) − 1. If an investment grows from Rs 1,00,000 to Rs 1,12,000 (12%) while prices rise 6%, the real return is 1.12 / 1.06 − 1 = 5.66%, not 6%.

How to use it

Separate goals by time: under 3 years, protect capital; 3 to 7 years, use a balanced mix; over 7 years, equity can play a larger role. Do not use equity for money needed next year. Convert each goal to its future cost: future cost = today's cost × $(1 + \text{inflation})^{\text{years}}$.

Before you act

- Use the inflation rate that fits the goal; education and healthcare costs often rise faster than general inflation.
- Keep the emergency fund and insurance in place before taking equity risk.
- Compare options on after-tax return, not headline return.

Today’s exercise

List three goals with their target dates, today's cost and inflation-adjusted future cost.

DAY 2 · 10–15 MINUTES

Risk, volatility and permanent loss

Core idea

Volatility is price movement. Risk is failing to meet a goal or suffering a permanent loss of capital. A sound company can be volatile, while a weak company can look stable until a sudden collapse.

Worked example

Recovery needed = 1 / (1 − loss) − 1. A 30% fall needs a 43% gain to recover; a 50% fall needs 100%. This asymmetry is why avoiding large permanent losses matters more than chasing the highest return.

How to use it

Assess business risk, debt, valuation, concentration and time horizon separately. Do not define risk only by recent price movement.

Before you act

- Ask honestly whether you could hold through a 30–40% fall without selling.
- Name the source of permanent-loss risk: debt, fraud, obsolescence or overpaying.
- Make sure no single holding can derail an important goal.

Today’s exercise

Write down the largest temporary fall you can tolerate without selling, in both percentage and rupee terms.

DAY 3 · 10–15 MINUTES

Compounding, CAGR and Rule of 72

Core idea

Compounding means returns earn further returns. CAGR (compound annual growth rate) converts a multi-year gain into an annual rate, so investments held for different periods can be compared.

Worked example

CAGR = (Ending value / Beginning value)$^{1/\text{years}}$ − 1. Rs 1 lakh becoming Rs 2 lakh in 6 years is a CAGR of about 12.25%. The Rule of 72 estimates doubling time: 72 / 12 = 6 years.

How to use it

CAGR hides the journey. Two funds can have the same CAGR but very different falls along the way, so look at drawdowns and consistency too.

Before you act

- Compare CAGRs over the same start and end dates.
- Look at the worst drawdown alongside the CAGR.
- Treat the Rule of 72 as an estimate; it becomes less accurate at very high rates.

Today’s exercise

Calculate the CAGR of an investment that grew from Rs 5 lakh to Rs 8 lakh in 5 years.

DAY 4 · 10–15 MINUTES

Asset classes and allocation

Core idea

Equity seeks long-term growth; debt provides stability and income; gold may diversify crisis and currency risk; real estate is tangible but illiquid and concentrated.

Worked example

A 70:20:10 equity–debt–gold portfolio is not designed so that every part rises together. Its purpose is to combine different return drivers so the whole is steadier than any single part.

How to use it

Choose allocation from goal horizon, income stability and loss tolerance, not from age alone. Rebalance once a year, or when an asset moves roughly 5 percentage points away from its target.

Before you act

- Set an allocation per goal rather than one number for your whole net worth.
- Count EPF, PPF and fixed deposits as part of your debt allocation.
- Write the rebalancing rule down before markets move.

Today’s exercise

Draft a target allocation and one rule for rebalancing it.

DAY 5 · 10–15 MINUTES

Index funds, ETFs and benchmarks

Core idea

An index fund aims to copy an index such as the Nifty 50. An ETF trades on the stock exchange during market hours and needs a demat and trading account. A conventional index mutual fund is bought and redeemed at the day's NAV through the fund house or a platform, with no demat account needed.

Worked example

If the Nifty 50 Total Return Index (TRI, which includes dividends) returns 12.0% and the fund returns 11.6%, the 0.4 percentage-point gap is the tracking difference. It reflects expenses and how efficiently the fund copies the index.

How to use it

Compare expense ratio, tracking difference, fund size, the exact index followed, and for ETFs, trading liquidity. Lower cost alone is not enough.

Before you act

- Measure tracking difference against the TRI, not the price index.
- For ETFs, check daily traded value and the gap between market price and indicative NAV (iNAV).
- Confirm the exact index: Nifty 50, Nifty Next 50 and Sensex behave differently.

Today’s exercise

Compare two Nifty 50 index funds over the same one-year period: expense ratio, tracking difference and fund size.

DAY 6 · 10–15 MINUTES

Active mutual funds and fund categories

Core idea

Active funds try to beat a benchmark through security selection. SEBI defines categories by mandate: large-caps are the top 100 listed companies by market cap, mid-caps are 101–250, and small-caps are 251 onwards. A large-cap fund must hold at least 80% in large-caps; a flexi-cap fund can move freely across sizes.

Worked example

A flexi-cap fund that beat a large-cap fund last year may simply have held more small-caps in a small-cap rally. Compare a fund with its own category and benchmark, not with a deposit or a fund from another category.

How to use it

Check rolling returns, behaviour in falling markets, portfolio concentration, turnover, expense ratio and the manager's process. Every fund has a direct plan and a regular plan; the direct plan has a lower expense ratio because it pays no distributor commission. Avoid choosing only last year's winner.

Before you act

- Compare against the category benchmark TRI over rolling 3- and 5-year periods.
- Choose the direct plan unless you are paying a distributor for advice you value.
- Check overlap with funds you already own.

Today’s exercise

For one goal, write why you would choose an index fund or an active fund.

DAY 7 · 10–15 MINUTES

SIP, lump sum and sequence risk

Core idea

A SIP (systematic investment plan) is a contribution method, not a guaranteed-return product. It suits regular income and reduces timing pressure. A lump sum gives money more time in the market but makes the result depend more on the entry date.

Worked example

A Rs 20,000 monthly SIP buys 200 units at NAV Rs 100 and 250 units at NAV Rs 80. The average cost is Rs 40,000 / 450 = Rs 88.89, below the average NAV of Rs 90. This is rupee-cost averaging; it does not prevent losses if the market keeps falling.

How to use it

Use SIPs for salary-linked investing. For a large lump sum, decide using the goal horizon and allocation, not a prediction of next month. Staggering can help you stay calm but may lower returns if markets rise in the meantime.

Before you act

- Set the SIP date a few days after your salary is credited.
- Do not stop SIPs during market falls; that is when they buy the most units.
- If you stagger a lump sum, fix the schedule in advance (for example, over 6–12 months).

Today’s exercise

Decide your monthly investable amount and the date it will be invested automatically.

DAY 8 · 10–15 MINUTES

Market capitalization and liquidity

Core idea

Market capitalization equals share price multiplied by shares outstanding. It measures market value, not revenue or assets. Large companies are generally more established; smaller ones can grow faster but carry higher business and liquidity risk.

Worked example

A company with 100 crore shares at Rs 250 has a market cap of Rs 25,000 crore. A company with 10 crore shares at Rs 1,000 is worth only Rs 10,000 crore. A high share price does not mean a larger company.

How to use it

Check free-float market cap, average trading volume and the bid–ask spread. Thin liquidity can make buying and selling expensive.

Before you act

- Check free float and promoter holding.
- Compare your intended position with the average daily traded value.
- Compare companies by market cap, never by share price.

Today’s exercise

Compare market cap and revenue for two companies in the same industry.

DAY 9 · 10–15 MINUTES

Income statement: revenue, margins and profit

Core idea

Revenue is sales. Operating profit reflects the core business before interest and tax. Net profit belongs to shareholders after all expenses. Margin shows profit per rupee of sales.

Worked example

Revenue of Rs 1,000 crore and operating profit of Rs 180 crore gives an 18% operating margin. If revenue grows but margin falls sharply, the quality of that growth needs investigation.

How to use it

Review five-year trends in revenue, operating profit and profit after tax. Separate one-off gains from recurring earnings. Compare margins only with similar businesses.

Before you act

- Separate other income and exceptional items from operating profit.
- Compare margins with direct peers only.
- Look at five-year trends, not a single quarter.

Today’s exercise

Find one company whose sales grew but profit did not, and identify why.

DAY 10 · 10–15 MINUTES

EPS and earnings quality

Core idea

Earnings per share (EPS) is profit available to shareholders divided by the weighted average number of shares. EPS can rise because profit grows or because the share count falls. Issuing new shares (dilution) reduces each shareholder's claim.

Worked example

Profit of Rs 500 crore divided by 100 crore shares gives EPS of Rs 5. If new shares raise the count to 125 crore and profit is unchanged, EPS falls to Rs 4.

How to use it

Compare EPS growth with operating cash flow and share count. Watch for exceptional income, capitalized expenses and frequent equity issuance.

Before you act

- Check the share count over five years for dilution.
- Use diluted EPS where it is reported.
- Check whether EPS growth is matched by operating cash flow.

Today’s exercise

Check whether a company’s five-year EPS growth matches its profit growth.

DAY 11 · 10–15 MINUTES

P/E ratio in depth

Core idea

The price-to-earnings ratio shows how much the market pays for one rupee of annual earnings. Trailing P/E normally uses the last twelve months' EPS. It summarizes expectations about growth, quality, risk and interest rates; it is not a standalone buy signal.

Worked example

Share price Rs 1,000 divided by trailing EPS Rs 50 gives a P/E of 20. The earnings yield is 1 / 20 = 5%. If EPS later falls to Rs 40 and the price is unchanged, the P/E becomes 25.

How to use it

Compare P/E with the company’s own history, close peers, growth, margins, balance-sheet strength and cyclicality. P/E is useless for loss-making companies and misleading at peak cyclical profits.

Before you act

- Use the same EPS basis (trailing, consolidated) for every company you compare.
- Compare with the company's own 5–10 year range and with close peers.
- Ask whether current earnings are near a cyclical peak or trough.

Today’s exercise

For a company at Rs 1,200 with EPS of Rs 48, calculate the P/E and earnings yield.

DAY 12 · 10–15 MINUTES

Forward P/E and estimate risk

Core idea

Forward P/E uses forecast earnings, usually for the next financial year. It shows how valuation changes if earnings grow, but the denominator is an estimate and may be wrong.

Worked example

At Rs 1,000, trailing EPS of Rs 50 gives a trailing P/E of 20. If next year's EPS is forecast at Rs 62.50, the forward P/E is 16. A lower forward P/E matters only if the forecast is credible.

How to use it

Look at what drives the estimate: volume, prices, margins, capacity and tax. Build bear, base and bull EPS cases rather than trusting one number. Analysts often cut forecasts only after bad news.

Before you act

- Check how past estimates compared with actual results.
- Write down the assumptions behind the estimate.
- Use a range of forward P/Es, not a single number.

Today’s exercise

At a share price of Rs 1,000, calculate the forward P/E for EPS estimates of Rs 55, Rs 65 and Rs 75.

DAY 13 · 10–15 MINUTES

PEG ratio and growth-adjusted valuation

Core idea

PEG divides P/E by the expected annual earnings growth rate (in percent). It tries to compare price with growth, but it is very sensitive to the chosen growth estimate and period.

Worked example

P/E 30 with expected growth of 20% gives PEG 1.5. P/E 18 with growth of 8% gives PEG 2.25. The lower-P/E stock is not automatically cheaper once growth is considered.

How to use it

Use normalized, sustainable growth. Avoid PEG for cyclicals, turnarounds and companies with unstable or negative growth. A PEG near 1 is not a universal fair-value rule.

Before you act

- Use a growth period of at least 3–5 years.
- Check that the growth estimate is consistent with how much the company reinvests and the return it earns.
- Skip PEG for cyclicals and turnarounds.

Today’s exercise

Calculate PEG for a P/E of 24 with growth estimates of 12%, 18% and 24%.

DAY 14 · 10–15 MINUTES

Price-to-book and banking valuation

Core idea

Price-to-book (P/B) compares market value with accounting equity. It is most useful for banks and financial companies, whose assets and liabilities are the business.

Worked example

A bank at Rs 600 with book value per share of Rs 200 trades at 3 times book. That premium may be justified by superior ROE, asset quality and growth.

How to use it

For banks, connect P/B with ROE, net interest margin, credit costs, gross and net NPA, provision coverage and capital adequacy. Book value can be overstated if bad loans are not fully recognized.

Before you act

- Pair P/B with ROE; a high P/B needs a high and durable ROE.
- Check gross and net NPA trends and provision coverage.
- Check capital adequacy and whether the bank may need to raise new equity.

Today’s exercise

Compare P/B and ROE for two banks; do not rank them by P/B alone.

DAY 15 · 10–15 MINUTES

ROE and DuPont thinking

Core idea

Return on equity (ROE) measures profit generated from shareholders’ equity. High ROE is attractive only when it is durable and not created mainly by heavy debt.

Worked example

Net profit of Rs 150 crore on average equity of Rs 1,000 crore gives ROE of 15%. DuPont splits this into three parts: with sales of Rs 1,500 crore and assets of Rs 1,500 crore, net margin is 10%, asset turnover is 1.0 and leverage (assets / equity) is 1.5. 10% × 1.0 × 1.5 = 15%.

How to use it

Use the five-year median ROE, not one strong year. Check whether buybacks, accumulated losses or leverage distort the ratio. Banks naturally use far more leverage than manufacturers.

Before you act

- Look at the five-year median ROE.
- Break ROE into margin, turnover and leverage.
- Watch for ROE inflated by very low or negative equity.

Today’s exercise

For one company, identify whether margin, asset turnover or leverage drives its ROE.

DAY 16 · 10–15 MINUTES

ROCE and capital-intensive businesses

Core idea

Return on capital employed (ROCE) is operating profit (EBIT) divided by the capital used in the business, usually equity plus debt. Because it includes debt, it compares businesses with different financing structures fairly. The after-tax version is often called ROIC.

Worked example

EBIT of Rs 160 crore on capital employed of Rs 800 crore gives ROCE of 20%. After 25% tax, the return is Rs 120 crore / Rs 800 crore = 15%. Value is created when the sustainable after-tax return on new capital exceeds the cost of capital.

How to use it

Check incremental ROCE, not only the historical average. A company can show high ROCE because it stopped reinvesting, which may limit future growth.

Before you act

- Compare ROCE only with peers in the same industry.
- Check whether large idle cash balances are dragging ROCE down.
- Look at the return on capital added over the last 3–5 years.

Today’s exercise

With EBIT of Rs 200 crore, equity of Rs 900 crore, debt of Rs 300 crore and a 25% tax rate, calculate pre-tax ROCE and the after-tax return on capital.

DAY 17 · 10–15 MINUTES

Balance sheet and working capital

Core idea

The balance sheet shows assets, liabilities and equity at a date. Working capital is operating current assets minus operating current liabilities; it reveals cash tied up in day-to-day operations.

Worked example

Cash conversion cycle = inventory days + receivable days − payable days. If receivables rise much faster than sales, reported revenue may not be turning into cash. Negative working capital can be healthy in businesses that collect from customers before paying suppliers.

How to use it

Track inventory days, receivable days and payable days. Compare them with peers and the company’s own history. Look for related-party receivables and unexplained loans.

Before you act

- Track the three working-capital days over five years.
- Compare the cash conversion cycle with direct peers.
- Check notes for related-party receivables and loans.

Today’s exercise

Calculate the cash conversion cycle for inventory days of 60, receivable days of 45 and payable days of 50.

DAY 18 · 10–15 MINUTES

Debt, interest coverage and solvency

Core idea

Debt can raise returns but magnifies losses and refinancing risk. Debt-to-equity alone is incomplete; cash flow and interest coverage matter.

Worked example

EBIT of Rs 300 crore and interest expense of Rs 60 crore gives interest coverage of 5 times. Net debt equals borrowings minus cash, although restricted cash may not be available to repay debt.

How to use it

Examine debt maturity, fixed versus floating rates, currency exposure, covenants and cash generation. For cyclical companies, test coverage using a weak year's EBIT.

Before you act

- Calculate interest coverage for a bad year, not just the latest one.
- Check how much debt matures in the next two years.
- Check whether promoters have pledged their shares.

Today’s exercise

Using the example above, recalculate interest coverage if EBIT falls 30% and interest expense rises 20%.

DAY 19 · 10–15 MINUTES

Cash flow and free cash flow

Core idea

Operating cash flow adjusts profit for non-cash items and working-capital changes. Free cash flow is the cash left after the capital expenditure needed to run and grow the business.

> **Worked example**
>
> Operating cash flow of Rs 250 crore minus capital expenditure of Rs 140 crore gives free cash flow of Rs 110 crore. Negative free cash flow can be acceptable during productive expansion, but not indefinitely without returns.

How to use it

Compare cumulative profit with cumulative operating cash flow over five years. Investigate persistent gaps, capitalized costs and acquisitions.

Before you act

- Compare five-year cumulative profit with five-year cumulative operating cash flow.
- Separate maintenance capex from growth capex where it is disclosed.
- Watch for regular acquisitions that are left out of "free cash flow".

Today’s exercise

Find a company with positive profit but negative operating cash flow and identify the cause.

DAY 20 · 10–15 MINUTES

Moats and industry structure

Core idea

A moat is a durable advantage that protects returns from competition. Common sources are switching costs, network effects, cost advantage, brand, distribution and regulation.

Worked example

A well-known brand is not a moat if customers switch easily and competitors match prices. Evidence of a moat includes stable market share, pricing power, high customer retention and sustained high return on capital.

How to use it

Ask Porter's five-forces questions: supplier power, buyer power, substitutes, new entrants and rivalry. State what could erode the advantage.

Before you act

- State the moat in one sentence.
- Find evidence in returns, market share and pricing power.
- Name the most likely threat to the moat.

Today’s exercise

Write a one-sentence moat hypothesis for a company and three pieces of evidence for it.

DAY 21 · 10–15 MINUTES

Management quality and capital allocation

Core idea

Management decides where cash goes: reinvestment, acquisitions, debt reduction, dividends or buybacks. Good communication cannot make up for poor capital allocation.

Worked example

A company earning 20% on new capital should usually reinvest if the opportunity is durable. An acquisition that adds revenue but lowers ROCE may reduce shareholder value.

How to use it

Read the chairman's letter, related-party transactions, auditor remarks, promoter pledging, remuneration and dilution history. Compare promises with outcomes over several years.

Before you act

- Check promoter pledging and related-party transactions.
- Compare past guidance with actual results.
- Compare management pay with profit growth.

Today’s exercise

Find one past management target and check whether it was achieved.

DAY 22 · 10–15 MINUTES

Annual reports and investor presentations

Core idea

The annual report combines audited financial statements, notes, management discussion, governance and risks. Investor presentations are easier to read but are marketing documents.

> **Worked example**
>
> A good reading order: business description, five-year numbers, cash-flow statement, debt notes, segment data, related parties, auditor's report and contingent liabilities.

How to use it

Look for changes in accounting policy, exceptional items, capital commitments, guarantees and pending litigation. Reconcile presentation claims with the audited numbers.

Before you act

- Read the auditor's report and key audit matters first.
- Reconcile presentation figures with the audited statements.
- Read the contingent liabilities and related-party notes.

Today’s exercise

Spend 15 minutes on the latest annual report of one company and record five risks.

DAY 23 · 10–15 MINUTES

Valuation beyond P/E

Core idea

Different businesses need different tools: EV/EBITDA for comparing operating businesses, P/B for many financial firms, price-to-sales for early-stage businesses, and discounted cash flow for making assumptions explicit.

Worked example

Enterprise value (EV) = market cap + debt − cash. A company with market cap of Rs 10,000 crore, debt of Rs 2,000 crore and cash of Rs 1,000 crore has EV of Rs 11,000 crore. With EBITDA of Rs 1,100 crore, EV/EBITDA is 10.

How to use it

No multiple is universal. Lease liabilities, minority interests, cyclicality and accounting choices affect comparability. Use at least two valuation lenses.

Before you act

- Use at least two valuation methods.
- Pick multiples that suit the business type.
- Adjust EV for leases, minority interests and investments where they are material.

Today’s exercise

A company has market cap of Rs 6,000 crore, debt of Rs 1,500 crore, cash of Rs 500 crore and EBITDA of Rs 875 crore. Calculate EV and EV/EBITDA.

DAY 24 · 10–15 MINUTES

Discounted cash flow without false precision

Core idea

DCF values a business as the present value of its future cash flows. Its strength is forcing explicit assumptions; its weakness is sensitivity to growth and discount rates.

Worked example

Present value = cash flow / (1 + discount rate)^{years}. If next year’s free cash flow is Rs 100 and the discount rate is 10%, its present value is Rs 90.91. Terminal value often makes up most of the total, so small changes in assumptions matter a lot.

How to use it

Use conservative scenarios, a limited high-growth period and a terminal growth rate below long-run nominal economic growth. Present a value range, not a precise target.

Before you act

- Keep terminal growth below long-run nominal GDP growth.
- Check what share of the value comes from the terminal value.
- Report a range, not a single point estimate.

Today’s exercise

Build bear, base and bull values for one company by changing its margin and growth assumptions.

DAY 25 · 10–15 MINUTES

Cyclicals, value traps and normalized earnings

Core idea

Commodity, metal, shipping and other cyclical companies often look cheapest at peak earnings and most expensive at trough earnings. A low P/E can therefore be a warning rather than a bargain.

Worked example

A steel company trades at P/E 15. Steel prices surge and profit doubles, while the share price rises only 5%. The trailing P/E falls to 15 × 1.05 / 2 ≈ 7.9, so the stock looks cheap. When profit returns to normal, the P/E jumps back to about 16 at the same price.

How to use it

Use mid-cycle margins, capacity utilization, industry supply, cost position and balance-sheet resilience. Distinguish a temporary difficulty from a structural decline.

Before you act

- Compare current margins with the 5–10 year average.
- Check new capacity being added across the industry.
- Check whether the balance sheet can survive a downturn.

Today’s exercise

For one cyclical company, normalize earnings using its five-year average margin and compare the resulting P/E with the reported one.

DAY 26 · 10–15 MINUTES

Portfolio construction and position sizing

Core idea

A portfolio should combine ideas without letting one mistake derail a goal. Diversification reduces company-specific risk but cannot remove market risk.

> **Worked example**
>
> Ten equal positions start at 10% each. If one falls 60%, the portfolio loses 6% from that holding. If that same stock were a 40% position, the loss would be 24%.

How to use it

Set position limits by confidence, downside and correlation. Avoid hidden concentration, such as owning several banks or IT services companies that respond to the same drivers.

Before you act

- Set a maximum position size before buying.
- Check sector and theme concentration across all holdings, including funds.
- Fund core goals mainly through diversified funds.

Today’s exercise

Map every holding by sector, business model and main risk.

DAY 27 · 10–15 MINUTES

Rebalancing, selling and review rules

Core idea

Rebalancing restores your target risk by trimming outperformers or adding to underweight assets. A sell decision should reflect the thesis, valuation, opportunity cost and what the portfolio needs.

Worked example

A Rs 10 lakh portfolio with a 70:30 target drifts to 78:22, so equity is Rs 7.8 lakh against a target of Rs 7 lakh. Either direct new money to debt or move about Rs 80,000 from equity to debt. Consider tax and transaction costs first.

How to use it

Write sell triggers before buying: thesis broken, governance concern, debt risk, valuation far beyond your assumptions, or a clearly better opportunity. Do not sell only because the price rose.

Before you act

- Write sell triggers at the time of purchase.
- Check tax and exit load before selling.
- Rebalance with new money first where possible.

Today’s exercise

Create a quarterly review checklist with no more than ten items.

DAY 28 · 10–15 MINUTES

Behavioral errors and decision hygiene

Core idea

FOMO, anchoring, confirmation bias, loss aversion and recency bias repeatedly damage returns. A written process reduces these errors but does not eliminate them.

Worked example

An investor anchored to a Rs 1,000 purchase price may refuse to sell at Rs 700 even after estimating the business is now worth only Rs 500. The purchase price is irrelevant to future value.

How to use it

Use an investment journal, a pre-mortem, a checklist and a cooling-off period. Read the strongest bear case. Judge your process separately from short-term outcomes.

Before you act

- Write the reason for every buy and sell in a journal.
- Wait 24–48 hours before any large or urgent-feeling decision.
- Read the strongest argument against your view.

Today’s exercise

Write down why your favorite investment could be wrong.

DAY 29 · 10–15 MINUTES

Tax, costs and account records in India

Core idea

After-tax return depends on the instrument, holding period and current law. Brokerage, securities transaction tax, stamp duty, GST on fees, expense ratios, exit loads and bid–ask spreads also reduce return. Tax rules change often, so verify the current rules before acting.

Worked example

Costs compound. Rs 10 lakh growing at 12% a year for 20 years becomes about Rs 96.5 lakh. At 11% (the same return minus a 1% annual expense) it becomes about Rs 80.6 lakh, a gap of roughly Rs 15.8 lakh. Frequent trading adds taxes and costs without improving decisions.

How to use it

Keep contract notes, capital-gains statements, mutual-fund CAS (consolidated account statement) records and purchase dates. For current tax treatment, use official Income Tax Department guidance or a qualified chartered accountant.

Before you act

- Keep records of purchase dates and costs for every holding.
- Check the current tax rules from official sources each financial year.
- Compare the total cost of options: expense ratio, brokerage and tax.

Today’s exercise

Estimate the annual rupee cost of a 1% expense ratio on your current portfolio, and on the portfolio you expect in ten years.

DAY 30 · 10–15 MINUTES

A repeatable 10-minute investment review

Core idea

The goal is not to predict every price move. It is to keep a disciplined system that connects goals, allocation, business quality, valuation and behavior.

Worked example

Minutes 1–2: check contributions and allocation. Minutes 3–5: learn or revise one metric. Minutes 6–8: review one company fact, not price noise. Minutes 9–10: record one decision or question.

How to use it

Monthly: reconcile investments and check whether rebalancing is needed. Quarterly: review company results. Annually: review goals, insurance, allocation, nominees and taxes. Avoid reacting to every headline.

Before you act

- Keep the review short and regular.
- Record decisions, not price movements.
- Put the annual review of goals, insurance and nominees in your calendar.

Today’s exercise

Write your one-page investment policy: goals, allocation, permitted products, position limits and review schedule.

Answer key

Answers to the numerical exercises. The remaining exercises use your own goals, companies or funds.

Day	Working	Answer
1 (illustration)	A goal costing Rs 10 lakh today, 10 years away, with 6% inflation: 10×1.06^{10}	About Rs 17.9 lakh
3	$(8 / 5)^{1/5} - 1$	CAGR ≈ 9.86%
11	1,200 / 48; 48 / 1,200	P/E 25; earnings yield 4%
12	1,000 / 55; 1,000 / 65; 1,000 / 75	18.2; 15.4; 13.3
13	24 / 12; 24 / 18; 24 / 24	PEG 2.0; 1.33; 1.0
16	Capital = 900 + 300 = 1,200. 200 / 1,200; 200 × 0.75 / 1,200	ROCE ≈ 16.7%; after-tax ≈ 12.5%
17	60 + 45 − 50	55 days
18	EBIT 300 × 0.7 = 210; interest 60 × 1.2 = 72; 210 / 72	About 2.9 times (down from 5)
23	EV = 6,000 + 1,500 − 500 = 7,000; 7,000 / 875	EV Rs 7,000 crore; EV/EBITDA 8

Formula sheet

Measure	Formula	Day
Real return	(1 + nominal) / (1 + inflation) − 1	1
Future cost of a goal	Today's cost × $(1 + \text{inflation})^{\text{years}}$	1
Gain needed to recover	1 / (1 − loss) − 1	2
CAGR	$(\text{End} / \text{Start})^{1/\text{years}} - 1$	3
Rule of 72	Years to double ≈ 72 / annual return %	3
Tracking difference	Index TRI return − fund return	5
Market cap	Share price × shares outstanding	8
Operating margin	Operating profit / revenue	9
EPS	Net profit to shareholders / weighted average shares	10
P/E and earnings yield	Price / EPS; EPS / price	11
Forward P/E	Price / forecast next-year EPS	12
PEG	P/E / expected annual EPS growth (%)	13
P/B	Price / book value per share	14
ROE (DuPont)	Net profit / equity = (profit / sales) × (sales / assets) × (assets / equity)	15
ROCE	EBIT / (equity + debt)	16
Cash conversion cycle	Inventory days + receivable days − payable days	17
Interest coverage	EBIT / interest expense	18
Net debt	Borrowings − cash and equivalents	18
Free cash flow	Operating cash flow − capital expenditure	19
Enterprise value	Market cap + debt − cash	23
Present value	Cash flow / $(1 + \text{discount rate})^{\text{years}}$	24

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